

Essential Insights: Module 8



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From Generative to Agentic AI

Capability Shift

- Generative AI supports tasks, while agentic AI executes multi-step workflows autonomously.
- This marks a shift from assistance to independent decision-making and action.

Organisational Impact

- Agentic AI enables organisations to redesign how work is structured and delivered.
- It transforms entire processes rather than incrementally improving them.

From Firms to Autonomous Enterprises

Traditional Model

- Organisations rely on human-led workflows with manual coordination across functions.
- Technology supports execution but does not lead decision-making.

Autonomous Enterprise

- AI agents observe, decide, and act across functions in real time.
- Operations continue without dependency on human availability.

Always-On, Real-Time Operations

Continuous Execution

- Processes run continuously without delays caused by human availability or communication gaps.
- Workflows remain active and responsive at all times.

Dynamic Decision-Making

- Decisions are made instantly using real-time data inputs.
- Organisations adapt faster to changing conditions.

Human Role Transformation

Shift in Responsibilities

- Humans move from task execution to oversight, governance, and goal setting.
- Leaders define constraints, policies, and ethical boundaries.

Strategic Importance

- Human judgement guides complex decisions and interventions.
- Oversight ensures alignment with long-term objectives and values.

AI-Driven Business Models

Core Design

- AI is embedded at the centre of operations to enable self-optimising systems.
- Processes shift from reactive to proactive execution.

Example: Manufacturing

- Systems monitor production and adjust operations autonomously in real time.
- This improves efficiency, quality, and reduces downtime.

Scaling, Speed, and Responsiveness

Enhanced Capability

- AI systems process large volumes of data and automate complex decisions quickly.
- This enables operations to scale beyond human limitations.

Business Value

- Organisations respond instantly to demand and operational changes.
- This improves resilience, speed, and customer experience.

Disintermediation via Agents

Eliminating Coordination Layers

- Agentic AI removes intermediaries by enabling direct decision-making and execution.
- This simplifies workflows and reduces operational complexity.

Example: Procurement

- AI agents manage supplier interactions, evaluation, and purchasing autonomously.
- Humans focus on strategy, relationships, and oversight.

Autonomous Customer Journeys

End-to-End Automation

- AI manages the entire customer journey from discovery to post-purchase.
- Engagement is continuous, personalised, and proactive.

Journey Phases

- Phase 1 identifies intent using behavioural and data signals.
- Phase 2 provides real-time personalised recommendations and comparisons.
- Phase 3 enables seamless purchase and ongoing engagement.

Personal AI Agents

Customer Representation

- AI agents act on behalf of users to complete tasks and transactions.
- They handle search, comparison, negotiation, and execution.

Market Shift

- Decisions are based on price, quality, and reliability rather than emotion.
- Businesses must provide structured, transparent, and machine-readable data.

Dynamic Marketplaces of Agents

Agent-to-Agent Transactions

- Buyer and seller agents negotiate and complete transactions autonomously.
- Interactions are governed by predefined rules and criteria.

Examples & Impact

- Programmatic advertising enables real-time bidding without human involvement.
- Supply chains are optimised through direct agent-based procurement decisions.

Autonomous Operations & Real-Time Reconfiguration

Autonomous Delivery

- AI manages fulfilment, logistics, and service delivery continuously.
- Systems detect disruptions and take corrective actions automatically.

Real-Time Reconfiguration

- Organisations adjust structure and priorities based on live data inputs.
- Examples include fast fashion and energy systems optimising operations instantly.

Financial Autonomy, Cost Shifts & Risks

Autonomous Financial Management

- AI manages cash, liquidity, and investments in real time.
- Systems execute transfers, forecasting, and portfolio adjustments autonomously.

Near-Zero Coordination Cost

- Automated workflows eliminate manual approvals and coordination overhead.
- Organisations become leaner with faster decision-making cycles.

Strategic Risks

- Risks include loss of control, cascading errors, and over-automation.
- Strong governance and human oversight are critical for safe adoption.